



United Energy Distribution Tariff Report 2006

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Table of Contents

1	PURPOSE	3
2	TARIFF SETTING PRINCIPLES (BASIS FOR TARIFF POLICIES).....	4
3	CHANGES IN TARIFFS, TARIFF STRUCTURE AND NEW TARIFFS.....	5
3.1	Network Use of System Tariffs:	5
3.2	Proposed Prescribed Services Tariffs.....	7
3.3	Excluded Services.....	7
3.4	Reassignments	8
3.5	Parent Tariffs.....	8
3.6	Future Expenditure.....	8
3.7	Consultation and Stakeholder Management.....	8
3.8	Details of Quantities and Customer Numbers Associated with Tariffs (Historical and Forecast).....	9
4	PROPOSED DISTRIBUTION USE OF SYSTEM (DUOS) TARIFFS	10
5	PROPOSED TRANSMISSION USE OF SYSTEM (TUOS) TARIFFS.....	12
5.1	Annual Adjustment	12
6	PROPOSED NETWORK USE OF SYSTEM (NUOS) TARIFFS	13
7	FUTURE DIRECTION OF UED'S TARIFFS	16
8	LET US KNOW YOUR VIEWS.....	17

1 Purpose

This report is intended to give guidance to customers, setting out the issues, principles and rationale used by United Energy Distribution (UED) in setting its Network Use of System (NUoS) tariffs for 2006.

Consultations with customers and groups representing customers have continued over 2005 and will continue into the future. However, UED welcomes further comments from interested parties and has demonstrated its willingness to incorporate such views into future tariff settings through some of the changes implemented over the past five years.

2 Tariff Setting Principles (Basis for Tariff Policies)

The design of the tariffs sought to incorporate the following policy principles:

- **Regulatory compliance.** Compliance with the regulatory requirements of the Essential Services Commission (the Commission) Final Electricity Distribution Price Determination 2006 - 2010. A key requirement by the Commission is that the network prices faced by a group of customers must lie between the avoidable cost of servicing that group (lower bound) and the stand-alone costs of servicing that class (upper bound). These regulatory requirements limit the extent to which tariffs can change, particularly any average price increases.
- **Customer choice.** To provide customers with meaningful choices of tariff options based upon behavioural response and shared benefits.
- **Market equity.** Having regard to previous price levels and hence relative changes. Further, pricing should apply to all retailers in a neutral manner and not impede the viability of full retail contestability.
- **Cost reflectivity.** Seek appropriate mechanisms for achieving inter-customer group equity in the allocation of distribution cost-recovery requirements. Pricing to recognise cost-reflectivity within the constraints imposed by regulatory requirements (i.e. that tariffs fall within economic upper and lower bounds) and ensuring efficient investment signalling and network usage.
- **Behavioural elasticity.** Seek to utilise rational consumer behavioural elasticity, both in terms of usage responses to pricing signals and tariff switching.
- **Practicality.** Seek to simplify mechanisms balancing against economic functionality, while having regard to minimising transaction and pricing administration cost.
- **Environmental.** Within the limitations of the scope and context of electricity distribution pricing, have regard to opportunities to improve utilisation efficiency and accommodate emerging energy technologies, particularly in respect of greenhouse gas emission reduction.

Understandably, not all the principles could be satisfied to their full extent, while fully complying with the Commission's requirements, particularly as some pull in opposing directions. UED has sought to satisfy these principles to the greatest extent possible whilst maintaining the given regulatory constraints.

3 Changes in Tariffs, Tariff Structure and New Tariffs

3.1 Network Use of System Tariffs:

The 2006 Network Use of System (NUoS) tariffs reflect the underlying structure of both the Transmission Use of System (TUoS) and Distribution Use of System (DUoS) charges. That is, the structures of the TUoS and DUoS tariffs are identical and the NUoS rates are the simple addition of DUoS and TUoS.

The fundamental restructuring of UED's tariffs was undertaken with the 2001 tariff set. The 2002 tariff submission contained some minor restructuring including the replacement of the interruptible tariff introduced in 2001 and two new tariffs for small customers. The 2006 tariff set, as per the 2003, 2004 and 2005 tariff sets contain no new tariffs.

In 2001 and 2002, UED introduced a number of optional Time of Use (ToU) tariffs for customers for use in conjunction with interval (or smart) meters. At the same time, several tariffs incorporating the historical 11pm to 7am Off Peak time zone, relying on obsolete metering technology, were closed to new connections. The following tariffs are closed to new connections and only available to installations currently taking supply under these tariffs:

1. Dedicated circuit
2. Low voltage large 1 rate
3. Low voltage large 2 rate
4. Low voltage medium 2 rate 5 day
5. Low voltage medium 2 rate 7 day
6. Low voltage small 2 rate
7. Subtransmission KVA time of use

The tariffs that are open to new connections are as follows:

1. High voltage KVA time of use
2. High voltage KVA time of use - HOT
3. Low voltage large KVA time of use
4. Low voltage large KVA time of use – HOT
5. Low voltage small/medium kW time of use
6. Low voltage small/medium kW time of use - HOT
7. Low voltage medium 1 rate
8. Reverse cycle airconditioning time of use
9. Low voltage small 1 rate
10. Winter economy tariff
11. Unmetered supplies

United Energy Distribution Tariff Report 2006

1 December 2005

Further information on each of the above tariffs and tariff eligibility is available on UED's website: www.ue.com.au.

UED believes it is important to provide customers with reasonable information on the objectives and rationale for tariff design and annual changes in tariffs. The Commission stipulates that this information must be provided in the form of a Tariff Strategy Report prior to any tariff changes. UED is currently producing a detailed tariff strategy report for tariff changes from 2007.

New connections requiring off peak network tariffs are now required to install an interval meter. It was intended that such a change in connection characteristics would trigger a change in the underlying network tariff to be billed to the customer's Retailer.

Previously, delays with the Commission's formal position paper on the roll out of interval metering meant that UED's uptake of ToU tariffs was substantially lower than forecast at the time of introduction of the 2001 tariffs. A further related issue was the reluctance of Retailers to repackage UED's ToU tariffs to smaller customers. To date, no Retailer has introduced a customer tariff in line with the low volume ToU tariff.

In July 2004, the Commission announced its final decision to mandate rollout of interval meters to all Victorian electricity customers from 2006 onwards. Interval meters provide the opportunity to measure the real time consumption of electricity in predetermined time periods and to use the information obtained to set end-use pricing to mirror wholesale market price movements, and thus more accurately reflect the real cost of supply. To date interval metering has mainly been used for customers consuming greater than 160 MWh per year and for those customers who have chosen to enter the contestable retail market with a contestable meter provider.

The ToU tariff initiatives introduced in 2001 are now expected to have a greater influence on customer behaviour as interval meters are rolled out. The transition to these ToU tariffs will promote energy efficiency, conservation and demand management as customers will be motivated to monitor their demand profiles and potentially change their consumption profile eg. Peak energy use to off peak energy use.

However, in the 2006 – 2010 Final Distribution Electricity Price Decision (EDPD), the Commission did not allow for any tariff migration from existing basic S1 and M1 tariffs to the ToU tariffs and associated changes in peak and off peak consumption splits. UED has significant revenue at risk if interval metered customers move to the (cheaper) kWToU tariff.

UED will closely monitor the migration to the existing kWToU tariff and assess the need for more substantive tariff changes. To mitigate revenue risk, UED may close the kWToU tariff in 2007 and introduce a similar new tariff with an average price higher than the existing kWToU tariff. This is not preferred as it could have negative implications being a demand signal tariff with positive environmental benefits. The introduction of new tariffs should be aimed at encouraging customers to change their consumption so that there is an overall improvement in asset utilisation and system load factor.

UED will participate in a Price Issues Consultation Group (PICG) (as per the EDPD) which is committed to the investigation of issues around the current pricing arrangements (eg. ToU tariffs) and to engage stakeholders in identifying barriers to efficient use and investment in networks. As UED has been the industry leader in ToU tariffs since 2001, it is expected that UED will continue to lead and influence the

United Energy Distribution Tariff Report 2006 1 December 2005

industry in the design of ToU tariffs. PICG will facilitate consultation with customers on the implications of the changes from Interval Meter Rollout (IMRO) and gain an understanding of the demand component aspects of the ToU tariffs. Customers will then be able to make more informed decisions regarding the use of ToU tariffs.

3.2 Proposed Prescribed Services Tariffs

In the last Regulatory Period (2001-2005), Meter Data Service (MDS) charges were collected via Excluded Service charges and Meter Provision (MP) charges were collected via NUoS charges. In the next Regulatory Period (2006-2010), the Commission has mandated that both MDS and MP charges are to be collected via a new mechanism which is neither an excluded service nor a NUoS charge. This new mechanism is to be known as the Prescribed Metering Services charge and has its own Price Control formulae.

The Proposed Prescribed Metering Services and charges for 2006 are:

Table 3.1 – 2006 Proposed Prescribed Metering Services Charges (GST exclusive)

Metering Data Services	\$/meter/annum
Monthly read meter	\$34.162
Quarterly read meter	\$10.375
Metering Data Services (Unmetered Supplies)	\$/light/annum
Per light	\$0.825
Meter Provision Charges	\$/meter/annum
Single phase non off peak meter (single element)	\$1.244
Single phase off peak meter (two element)	\$3.278
Three phase direct connected meter	\$8.790
Three phase current transformer connected meter	\$13.826

3.3 Excluded Services

The current schedule of excluded services has not been updated since 2000. A review is currently being undertaken to investigate cost reflective prices and further analysis and industry consultation is required before moving towards implementation of these prices.

Due to the Interval Meter Rollout, the Commission has mandated additional excluded services to those already existing. The charges to apply from 1 January 2006 for these services are yet to be determined and will be submitted in accordance with Guideline No. 14. These services comprise the following:

- Meter Provision charge for customers who consume > 160MWh/annum with a manually read interval meter
- Exit fee for customers choosing alternative metering service provider
- Provision of interval meters to existing premises which are installed at the request of the customer in advance of the scheduled meter rollout

United Energy Distribution Tariff Report 2006

1 December 2005

- Provision of meters as part of the scheduled rollout which are installed at the request of the customer after hours (residential customers only)

Additionally, new connection charges have been adjusted in accordance with the Final Determination 2006-2010 to account for the increased costs associated with installing interval meters for new customers.

These adjustments will apply from 1 January 2006 as follows:

- An increase of \$7 for single phase non off peak meter
- An increase of \$70 for a single phase off peak meter
- An increase of \$100 for a three phase direct connected meter; and
- An increase of \$430 for a three phase CT connected meter.

Where UED is not exclusively responsible for metering, the new connection charge is to be decreased by \$50.

3.4 Reassignments

Retailers initiated 113 customer tariff reassignments inclusive of the period 1 January 2005 to 16 November 2005. As the tariff structures are not changing in 2006, it is expected that the number of reassignments in 2006 will be similar to 2005.

3.5 Parent Tariffs

UED have not introduced any new tariffs in 2006, hence there are no parent tariffs.

3.6 Future Expenditure

UED's future expenditure as a result of network constraints can be found in UED's 2004 Transmission Connection Planning and Distribution System Planning reports on the UED website: www.ue.com.au.

3.7 Consultation and Stakeholder Management

As no new tariffs are to be introduced during 2006, UED have not carried out any stakeholder consultation. However UED will commence a stakeholder consultation process in accordance with Commission guidelines early 2006.

3.8 Details of Quantities and Customer Numbers Associated with Tariffs (Historical and Forecast).

Table 3.2 – 2004 Actual and 2006 Forecast Customer Numbers and Quantities

Tariff	2004 Customers	2004 Mwhs	2006 Mwhs
Low voltage small 1 rate	535,679	2,427,196,718	2,487,800,000
Winter economy tariff	173	1,708,256	
Reverse cycle airconditioning time of use	-	-	-
Low voltage small 2 rate	5,242	41,965,522	40,255,000
Dedicated circuit	83,414	325,593,389	286,030,000
Low voltage medium 1 rate	27,665	350,075,727	375,940,000
Low voltage medium 2 rate 5 day	17,340	818,965,815	778,300,000
Low voltage medium 2 rate 7 day	7,193	241,869,810	221,381,000
Unmetered supplies	8,519	100,497,689	100,346,000
Low voltage large 1 rate	13	3,910,246	3,381,100
Low voltage large 2 rate	109	35,676,948	27,682,000
Low voltage small/medium KW time of use	462	73,673,362	111,758,000
Low voltage small/medium KW time of use - HOT	-	-	-
Low voltage large KVA time of use	1,626	2,120,174,110	2,202,200,000
Low voltage large KVA time of use - HOT	-	-	-
High voltage KVA time of use	77	971,915,599	995,000,000
High voltage KVA time of use - HOT	-	-	-
Subtransmission KVA time of use	1	35,908,764	35,379,000
Total	687,513	7,549,131,955	7,665,452,100

4 Proposed Distribution Use of System (DUoS) Tariffs

The regulated price control formula allowed UED an average decrease in the price control for distribution tariffs in 2006 of 11.930% from the 2005 tariffs. The major component of this decrease was “Po” of 14.7%, offset by CPI of 3.0% and the “S-factor” of 0.215% (M factor = 0, L factor=1). The “Po” is the step change in the first year of the regulatory rate reset and reflects the underlying price path for distribution tariffs over the regulatory period (2006 - 2010). The “S-factor” relates to network reliability and reflects the network reliability statistics achieved by UED’s management of its network assets.

Within the average tariff movement, the price control formulae allows individual tariffs to increase by a maximum of 5.313%, although UED has decreased all tariffs equally by the average movement of 11.930%.

As mentioned in Section 2, the Commission has stated that distribution tariffs should lie between the following upper and lower bounds:

- tariffs for each customer should generate revenue in excess of the avoidable cost to service the customer; and
- tariffs for each customer should generate revenue less than the cost of providing the service on a stand-alone basis to the customer.

To demonstrate that distribution tariffs fall between the avoidable cost “floor” and standalone cost “ceiling”, UED must first apply a “cost of supply” methodology to assist in setting tariff rates. Broadly speaking, tariff rates are set to recover the allocated distribution revenue from that customer group. It is noted, however, that UED has regard to all the pricing principles outlined in Section 2, in setting tariff rates.

The critical issue from a cost of supply modelling perspective is the method by which distribution revenue is allocated across the tariff groups. As network businesses are characterised by relatively high fixed costs and significant asset-sharing between customer groups, there is no unambiguously “correct” method for allocating costs. UED’s method of allocation is based on each tariff’s relative usage of UED’s network assets.

UED has extended its “cost of supply” methodology to assess the avoidable and standalone costs. The avoidable cost model recognises that only a proportion of total costs are avoidable. In particular, the majority of asset-related costs cannot be avoided even if a particular customer group is no longer served. Inevitably, the assessment of which costs are avoidable is a matter of judgement. It should be noted, however, that as the avoidable costs are less than the total costs, UED’s cost of supply methodology will always set tariffs at a level that exceeds avoidable costs.

UED’s modelling of standalone costs is similarly based on the cost of supply model. The principal differences between the “basic” cost of supply estimates and standalone costs are:

- Standalone networks to serve a particular tariff class will not enjoy the benefit of diversity in peak demand between tariff classes;
- Economies of scale may be lost in supplying a subset of existing customers or tariffs;

United Energy Distribution Tariff Report 2006
1 December 2005

- Greater urban congestion may result in the optimised replacement cost exceeding UED's regulated asset value; and
- It is likely that a notional "standalone" competitor to UED may seek a rate of return that exceeds the regulated cost of capital.

These factors indicate that the standalone costs will exceed the cost of supply estimates on which UED bases its tariff design. It is important to recognise that it is difficult to determine the standalone costs with precision – inevitably a judgement just be made. The results of UED's modelling is summarised in Table 4.1 below:

Table 4.1 - Comparison of 2006 Proposed Tariff Rates with Estimated "Cost Window

Tariff Group		Lower Bound "Avoidable Cost" (c/k Wh)	2006 Avg DUoS (Exc GST) (c/kWh)	Upper Bound "Standalone Cost" (c/kWh)
LV Unmetered	Small	0.16	2.93	7.01
LVS1R		0.28	4.60	10.38
LVS2R*			3.63	
LVDed*			1.41	
WET			4.22	
LVkWToU			4.27	
LVM1R	Medium	0.35	6.12	12.52
LVM2R5D*			5.74	
LVM2R7D*			6.59	
LVL2R*	Large	0.35	4.92	12.52
LVL1R*			4.25	
LVKVAToU (lge)	HV	0.12	2.26	4.20
HV-KVA		0.06	1.36	2.08
HV-KVA.Interruptable			**	
ST22.KVA*			0.36	

* Tariff closed to new connections and customers not already taking supply under this tariff.

** Omitted due to small number of customers in this tariff class.

5 Proposed Transmission Use of System (TUoS) tariffs

For practical reasons, the TUoS tariff structure does not reflect the structure of the grid fees paid. The TUoS tariff commenced with a structure compatible with the DUoS tariff. The structure has been maintained in order to allow the NUoS tariff to be determined by simply adding the DUoS and TUoS rates. However, UED has restricted the application of TUoS rates to those components of the NUoS which best reflect the underlying Grid Fees (i.e. Peak Energy, Summer Demand Incentive Charge and Rolling Demand). Therefore, off peak energy and fixed charges do not attract TUoS.

5.1 Annual Adjustment

The Commission found the application of a specific Y factor rebalancing control for each transmission tariff is consistent with the current price controls and has approved this approach for a specific Y factor variation for each tariff of each distribution business.

Table 5.1 below shows the 2006 rebalancing constraints set by the Commission. As a result from the over collection of grid fees, TUoS is proposed to decrease by 7.4%.

Table 5.1 - 2006 Y Factor

Tariff	Y factor
Low voltage small 1 rate	-4.4%
Winter economy tariff	2.0%
Reverse cycle air-conditioning time of use	2.0%
Low voltage small 2 rate	-8.5%
Dedicated circuit	2.0%
Low voltage medium 1 rate	-3.6%
Low voltage medium 2 rate 5 day	-9.3%
Low voltage medium 2 rate 7 day	-5.2%
Unmetered supplies	-11.8%
Low voltage large 1 rate	-4.6%
Low voltage large 2 rate	-7.2%
Low voltage small/medium KW time of use	-6.4%
Low voltage small/medium KW time of use - HOT	2.0%
Low voltage large KVA time of use	-8.5%
Low voltage large KVA time of use - HOT	2.0%
High voltage KVA time of use	-12.3%
High voltage KVA time of use - HOT	2.0%
Sub transmission KVA time of use	-10.7%

6 Proposed Network Use of System (NUoS) Tariffs

NUoS charges are those seen on customer invoices and reflect the underlying structure of Transmission and Distribution charges. Residential and small business customers do not see distribution prices explicitly, as they are usually bundled by retailers with energy and other costs. NUoS rates are the simple addition of DUoS and TUoS rates. As a result of the movements discussed above, the proposed NUoS rates are as follows:

United Energy Distribution Tariff Report 2006
1 December 2005

Table 6.1 Schedule of Network Use of System (NUoS) Tariffs: 1 January 2006
(GST inclusive)

Tariffs	Network Tariff Component						Eligibility		Minimum Dmd/Rln
	Standing Charge (C/kWh)	Summer Peak Energy (C/kWh)	Non Summer Peak Energy (C/kWh)	Off peak Energy (C/kWh)	Rolling Peak Demand c/kVA/day	Summer Demand Incentive Charge c/kW/day or c/kVA/day	kVA	MWh pa	
Dedicated circuit*				1.548					
High voltage KVA time of use		1.296	1.017	0.580	11.701	13.805			1,150
High voltage KVA time of use - HOT		1.021	0.797	0.580	9.870	22.913			1,150
Low voltage small/medium KW time of use		7.332	5.685	1.327		34.118			
Low voltage small/medium KW time of use - HOT		6.790	5.250	1.327		59.903			
Low voltage large 1 rate*	10.155	7.392	5.883						
Low voltage large 2 rate*	14.640	10.594	8.285	1.548					
Low voltage large KVA time of use		1.830	1.438	0.815	14.257	17.968	>150	>400	150
Low voltage large KVA time of use - HOT		1.493	1.167	0.815	12.876	31.012	>150	>400	150
Low voltage medium 1 rate	9.359	9.467	7.582				Business Customer		
Low voltage medium 2 rate 5 day*	14.640	11.854	9.283	1.548					
Low voltage medium 2 rate 7 day*	14.640	11.968	9.422	1.548					
Reverse cycle airconditioning time of use		18.200	4.185	1.428		67.128	<20	<20	
Low voltage small 1 rate	7.200	7.033	5.518				Residential Customer		
WET-Step 1<=1020kwh/Quarter**	7.200	7.246	5.625				<20	<70	
WET-Step 2>1020kwh/Quarter**			3.085						
Low voltage small 2 rate*	11.260	11.297	8.619	1.548					
Sub transmission KVA time of use*		0.795	0.617	0.264	3.710	4.661			11,100
Unmetered supplies		11.324	8.553	1.548					

United Energy Distribution Tariff Report 2006

1 December 2005

* Tariff closed to premises not already taking supply under this tariff and new connections

** Discount rate only applies for non-summer energy (1st April to 31st October)

Abbreviation	Description	Units
Fxd	Fixed charge	c/day
EgySmrPk	Energy - Summer peak or single rate	c/kWh
EgyNsmPkb1	Energy - Non-summer peak or single rate, block 1	c/kWh
EgyNsmPkb2	Energy - Non-summer peak or single rate, block 2	c/kWh
EgyOpk	Energy - Off-Peak	c/kWh
DmnRln	Demand - Rolling 12 months	c/kVA/day
DmnSmr	Demand - Summer Incentive	c/kW/day or c/kVA/day

7 Future Direction of UED's Tariffs

UED will continue to review the effectiveness of its existing tariffs. UED has been a leader in tariff innovation and will assess tariff design implications as more accurate half-hourly load shapes for all customers becomes available.

It is expected that while there may be some refinements to existing tariffs, at this stage, UED is not contemplating significant tariff changes (other than possible ToU tariff changes as mentioned in section 3) during the 2006-2010 regulatory period. That said, UED will maintain a watching brief on the need for more substantive tariff changes.

- Encouraging an increased uptake of interval-metering based tariffs such as the current 'ToU' series;
- The SDIC concept will remain, but the time window may be updated from time to time in order that it remain aligned with the key network peak demands;
- Cost-of-supply modelling updated to reflect changes in relative contributions from segments;
- Further accentuating the emphasis on peak season (summer), day of week and time of day in order to stimulate DSM response
- Properly integrate the contribution that distribution-connected generator customers should be making to the costs of providing network services that all users share and derive value from;
- Further closure of tariffs based on obsolete metering;
- Premium service tariffs whereby customers get a choice of above code-level supply reliability and services, for a premium on top of the standard tariff. This must be seen in the overall context of customer service as well as relationship strategies;
- An increased number of time-of-day bands, with greater peak / off peak differential, and energy and distribution tariff components peaking at different times; and
- Demand management (DM) programs aimed at different customer classes may be investigated, for example:
 - interruptible tariffs for business customers whereby customers agree to reduce their power consumption for agreed periods at the request of the distributor (likely to be at a time like a hot summer afternoon when the time when the system is heavily stressed), and in return get some compensation payments from the distributor; and
 - DM aggregation program, which involves working with a range of customers and bidding their combined interruptible load in either the wholesale energy or ancillary services market.

8 Let us Know Your Views

UED continues to encourage customers to discuss ideas on how mutual needs may be better met. Many of the 2006 changes will be familiar to those customers that participated in sessions hosted by UED during 2005. It is hoped that this can be further enhanced during the next year.

Appendix 1 - Proposed 2006 DUoS and TUoS Tariff Rates

Available on the Commission's website (from 1/1/2006) at:

<http://www.esc.vic.gov.au/electricity210.html>

United Energy Distribution Tariff Report 2006
1 December 2005

A.1 – Schedule of Distribution Use of System (DUoS) Tariffs: 1 January 2006
(GST inclusive)

Tariffs	Component						Eligibility		DmnRln
	Fxd	Egy SmrPk	EgyNsm Pkb1	Egy Opk	Dmn Rln	Dmn Smr	kVA	MWh pa	
Dedicated circuit*				1.548					
High voltage KVA time of use		0.651	0.501	0.580	7.413	9.303			1,150
High voltage KVA time of use - HOT		0.651	0.501	0.580	7.413	17.951			1,150
Low voltage small/medium KW time of use		5.869	4.513	1.327		27.292	<150	<400	
Low voltage small/medium KW time of use - HOT		5.869	4.513	1.327		51.652	<150	<400	
Low voltage large 1 rate*	10.155	5.299	4.209						
Low voltage large 2 rate*	14.640	8.986	6.996	1.548					
Low voltage large KVA time of use		0.914	0.703	0.815	10.513	12.851	>150	>400	150
Low voltage large KVA time of use - HOT		0.914	0.703	0.815	10.513	24.801	>150	>400	150
Low voltage medium 1 rate	9.359	7.352	5.889				Business Customer		
Low voltage medium 2 rate 5 day*	14.640	10.275	8.019	1.548					
Low voltage medium 2 rate 7 day*	14.640	9.869	7.742	1.548					
Reverse cycle airconditioning time of use		4.659	1.172	1.428		58.542	<20	<70	
Low voltage small 1 rate	7.200	5.247	4.027				Residential Customer		
WET-Step 1<=1020kwh/Quarter**	7.200	5.247	4.027				<20	<70	
WET-Step 2>1020kwh/Quarter**			1.487						
Low voltage small 2 rate*	11.260	8.298	6.217	1.548					
Sub transmission KVA time of use*		0.360	0.267	0.264	0.629	0.922			11,100
Unmetered supplies		8.515	6.306	1.548					

* Tariff closed to new connections and premises not already taking supply under this tariff.

United Energy Distribution Tariff Report 2006
1 December 2005

Abbreviation	Description	Units
Fxd	Fixed charge	c/day
EgySmrPk	Energy - Summer peak or single rate	c/kWh
EgyNsmPkb1	Energy - Non-summer peak or single rate, block 1	c/kWh
EgyNsmPkb2	Energy - Non-summer peak or single rate, block 2	c/kWh
EgyOpk	Energy - Off-Peak	c/kWh
DmnRln	Demand - Rolling 12 months	c/kVA/day
DmnSmr	Demand - Summer Incentive	c/kW/day or c/kVA/day

**Table A.2 – Schedule of Transmission Use of Systems (TUoS) Tariffs: 1
January 2006 (GST inclusive)**

Tariffs	Component						Eligibility		DmnRln
	Fxd	Egy SmrPk	EgyNsm Pkb1	Egy Opk	Dmn Rln	Dmn Smr	kVA	MWh pa	
Dedicated circuit*									
High voltage KVA time of use		0.645	0.516		4.288	4.502			1,150
High voltage KVA time of use - HOT		0.370	0.296		2.457	4.962			1,150
Low voltage small/medium KW time of use		1.463	1.172			6.826	<150	<400	
Low voltage small/medium KW time of use - HOT		0.921	0.737			8.251	<150	<400	
Low voltage large 1 rate*		2.093	1.674						
Low voltage large 2 rate*		1.608	1.289						
Low voltage large KVA time of use		0.916	0.735		3.744	5.117	>150	>400	150
Low voltage large KVA time of use - HOT		0.579	0.464		2.363	6.211	>150	>400	150
Low voltage medium 1 rate		2.115	1.693				Business Customer		
Low voltage medium 2 rate 5 day*		1.579	1.264						
Low voltage medium 2 rate 7 day*		2.099	1.680						
Reverse cycle airconditioning time of use		13.541	3.013			8.586	<20	<70	
Low voltage small 1 rate		1.786	1.491				Residential Customer		
WET-Step 1<=1020kwh/Quarter**		1.999	1.598					<20	<70
WET-Step 2>1020kwh/Quarter**			1.598						
Low voltage small 2 rate*		2.999	2.402						
Sub transmission KVA time of use*		0.435	0.350		3.081	3.739			11,100
Unmetered supplies		2.809	2.247						

* Tariff closed to new connections and premises not already taking supply under this tariff.

United Energy Distribution Tariff Report 2006
1 December 2005

Abbreviation	Description	Units
Fxd	Fixed charge	c/day
EgySmrPk	Energy - Summer peak or single rate	c/kWh
EgyNsmPkb1	Energy - Non-summer peak or single rate, block 1	c/kWh
EgyNsmPkb1	Energy - Non-summer peak or single rate, block 2	c/kWh
EgyOpk	Energy - Off-Peak	c/kWh
DmnRln	Demand - Rolling 12 months	c/kVA/day
DmnSmr	Demand - Summer Incentive	c/kW/day or c/kVA/day

Appendix 2 - Glossary of Terms

DSM	Demand-side management. Refers to the ability of customers that consume a product to change behaviours that alter the overall balance between supply and demand. Examples may include the installation of energy management systems, or deferring consumption at time of peak demand.
Essential Service Commission	The Commission (Previously Office of the Regulator-General)
Load Duration Curve (LDC)	A graphical representation of the utilisation of a network. For the time period under observation, the load on the network is shown, sorted by highest to lowest. The resulting area graphically presents the percentage of the available capacity utilised.
Load Factor	Load factor is a measure of how 'steady' a load is. It is the extent to which average usage compares to maximum usage. It is generally much more efficient to supply a high load factor (100%=constant unchanging demand) than a 'peaky' (less than 100%) usage pattern. This is because depending upon the time of the peak, the capacity needs to be there all the time to supply the peak, even though most of the time it may not be fully required.
LVS1R etc	Abbreviated Tariff names. • The 1st two letters refer to the voltage level at which the customer is supplied, LV = low voltage 240V (single phase) or 415V (three phase), HV = high voltage 6.6, 11 or 22kV, ST = sub-transmission 22 and 66kV. HOT = tariff variant based on high ambient temperature threshold • The 2nd section refers to the type of customer, S = small, M = medium, L = large, no letters generally indicates 'generic' interval metered customer. • 3rd section indicates type of rate structure, 1R = single energy rate, 2R = peak/off-peak rate, kW = interval metered in kW, kVA = interval metered in kVA.
kW	Kilowatts, (1,000 Watts) the ISO unit of power measurement
kWh	An I.S.O. unit used for the measurement of energy. It is the product of kW times time (in hours).
kVA	kilo-Volt-Ampere, the vector product of voltage times current. It is a measure of the proportion of useful (kW) power delivered vs. the current (Amps) drawn by the load, this is known as 'power factor'. The size of assets required is generally a function of the current. Therefore the closer the power factor is to 1.00, the smaller the asset required to supply the load.

United Energy Distribution Tariff Report 2006
1 December 2005

k-factor mechanism	A regulatory method aimed at ensuring differences between 'actual' and 'forecasted' are washed-up year to year on a revenue neutral basis. This applies to Transmission wholesale costs and TUoS revenues.
Residue settlement	A means by which over-recoveries of costs on the part of the energy and transmission markets are rebated back to customers.
SDIC	Summer Demand Incentive Charge